

Accounting Business and Society

Week 6

Tutorial A

Exercise 1



Background:

This activity will allow you to understand the common business transactions relating to the inventory and be able to distinguish the differences between two different systems in recording for the inventory related transactions, which are Perpetual and Periodic. You will be working in a pair for this activity.

Task:

Discussion of pre-class work

- . What is the perpetual system for accounting inventory?- What is the acquisition cost for inventory?
- . What is the key difference between Periodic Inventory System and Perpetual Inventory?
- . If the ending inventory of the year is understated, how will the financial statements be impacted?
- . What are the First-in First-out (FIFO) and Average Costing methods that determine the costs of inventories sold?

Activity:

1. Use the Word Template provided below to for this task.
2. You and your peers will have a discussion and list some of the common business transactions that may involve inventory.
3. The second task will require students to discuss the two (2) inventory recording systems (Perpetual & Periodic) and how they differ in terms of recording for the business scenarios that were identified in the first task.

Resources:

Perpetual vs Periodic Inventory System

Exercise 2

Background:

This activity will allow you to apply what you have learned about Perpetual and Periodic system to journalise business transactions relating to the inventories. You will be working in pairs for this activity.

Task:

1. Use the Excel Spreadsheet provided below to complete the following task.
2. You and your partner need to use one Inventory method (either Perpetual or Periodic) to record for the business transactions relating to Inventory presented in the Excel sheet.

Resources:

Recording for Inventory

Exercise 3



Background:

This activity will allow you to understand the impacts of Inventory errors on the company's financial statements and its reporting.

Task:

Suppose that Linh's Global Company reported in its 2022 financial statements the profit of \$230,000 and ending inventory of \$39,500. In year 2025, you as the senior accountant working for the company, discovered that the ending inventory for the year 2022 should be \$42,500.

As such, you are required to prepare a short report (a template is provided below) to do the following tasks:

1. Describe the error occurred in the inventory account in the year 2022. For instance, identify if the inventory was overstated or understated and by how much etc. In the report, you are also required to recalculate the correct net income for year 2022.
2. Show and explain the impact of the errors on the following year (2023)'s company profit.

Resources:

Brief Business Report

Exercise 4



P6-62A. (Learning Objectives 1, 2: Show how to account for inventory in a perpetual system using the average-costing method) Big Box purchases inventory in crates of merchandise; each crate of inventory is a unit. The fiscal year of Big Box ends each January 31. Assume you are dealing with a single Big Box store in Rosedale, Minnesota. The Rosedale store began the year with an inventory of 23,000 units that cost a total of \$1,219,000. During the year, the store purchased merchandise on account as follows:

Jul (30,000 units at \$58)	\$1,740,000
Nov (50,000 units at \$62).....	3,100,000
Dec (60,000 units at \$68).....	4,080,000
Total purchases.....	\$8,920,000

Cash payments on account totaled \$8,592,000. During fiscal year 2016, the store sold 151,000 units of merchandise for \$15,477,500, of which \$5,300,000 was for cash and the balance was on account. Big Box uses the average-cost method for inventories. Operating expenses for the year were \$2,500,000. Big Box paid 70% in cash and accrued the rest as accrued liabilities. The store accrued income tax at the rate of 30%.

Exercise 4



Requirements

1. Make summary journal entries to record the store's transactions for the year ended January 31, 2016. Big Box uses a perpetual inventory system. Round average cost per unit to two decimal places and round all other amounts to the nearest dollar.
2. Prepare a T-account to show the activity in the Inventory account.
3. Prepare the store's income statement for the year ended January 31, 2016. Show totals for gross profit, income before tax, and net income.

Exercise 5



P6-63A. (Learning Objective 2: Apply various inventory costing methods) Assume a Watercrest Sports outlet store began October 2016 with 47 pairs of running shoes that cost the store \$38 each. The sale price of these shoes was \$67. During October, the store completed these inventory transactions:

		Units	Unit Cost	Unit Sale Price
Oct 2	Sale	19	\$38	\$67
9	Purchase.....	83	40	
13	Sale	28	38	67
18	Sale	10	40	68
22	Sale	34	40	68
29	Purchase.....	24	42	

Requirements

1. The preceding data are taken from the store's perpetual inventory records. Which cost method does the store use? Explain how you arrived at your answer.
2. Determine the store's cost of goods sold for October. Also compute gross profit for October.
3. What is the cost of the store's October 31 inventory of running shoes?

Exercise 6



P6-64A. (Learning Objective 2: Compare inventory by three methods) Armed Forces Surplus began March 2016 with 80 tents that cost \$15 each. During the month, Armed Forces Surplus made the following purchases at cost:

March 6 100 tents @ \$20 = \$2,000
18 120 tents @ \$25 = 3,000
26 50 tents @ \$30 = 1,500

Armed Forces Surplus sold 296 tents, and at March 31, the ending inventory consists of 54 tents. The sale price of each tent was \$45.

Requirements

1. Determine the cost of goods sold and ending inventory amounts for March under the average cost, FIFO cost, and LIFO cost. Round average cost per unit to two decimal places, and round all other amounts to the nearest dollar.
2. Explain why cost of goods sold is highest under LIFO. Be specific.
3. Prepare the Armed Forces Surplus income statement for March. Report gross profit. Operating expenses totaled \$5,000. Armed Forces Surplus uses average costing for inventory. The income tax rate is 35%.

Accounting Business and Society

Week 6

Tutorial B

Exercise 1

Background:

Make sure to have attempted the FIFO & Average Costing Excel Spreadsheet before turning up the tutorial B this week!

Task:

1. You now will be working in a pair to discuss and compare your solution on your FIFO & Average Costing Excel Spreadsheet (10 mins)
2. After discussion time, your pair might be requested to present the solution to the class.

Resources:

FIFO & Average Costing-Perpetual System

Exercise 2

Background:

This activity will allow you to understand how FIFO and Average Costing methodwork under the Periodic System.By completing this activity, you should be able todistinguish between Period System and Perpetual System in calculating for COGS and Ending Inventory.

Task:

- 1.You are required to use the FIFO and Average Costing under Period SystemExcel Spreadsheet provided below to complete this task.
- 2.You will be given a comprehensive business problem on the Excel sheet whichrequires you to apply the knowledge of Periodic Inventory System in the combination with FIFO and Average Costing to determine the CoGs EndingInventory and Gross Profit for the company.

Resources:

FIFO & Average Costing-Period System

Exercise 3



P6-68A. (Learning Objectives 4, 5: Compute gross profit; use the COGS model to make management decisions, and estimate inventory by the gross profit method) Assume Watertown Company, a camera store, lost some inventory in a fire on March 15. To file an insurance claim, Watertown Company must estimate its March 15 inventory by the gross profit method. Assume that for the past two years Watertown Company's gross profit has averaged 39% of net sales. Suppose that Watertown Company's inventory records reveal the following data:

Inventory, March 1	\$ 57,400
Transactions March 1–15:	
Purchases	490,300
Purchase discounts	11,000
Purchase returns.....	70,800
Sales.....	647,000

Requirements

1. Estimate the cost of the lost inventory using the gross profit method.
2. Prepare the income statement for March 1 to March 15 for this product through gross profit. Show the detailed computations of cost of goods sold in a separate schedule.

Exercise 4



P6-70A. (Learning Objective 6: Analyze the effects of inventory errors) The accounting records of Brilliant Home Store show these data (in millions). The shareholders are very happy with Brilliant's steady increase in net income.

	2016	2015	2014
Net sales revenue.....	\$42	\$39	\$36
Cost of goods sold:			
Beginning inventory	\$ 10	\$ 9	\$ 8
Net purchases	<u>30</u>	<u>28</u>	<u>26</u>
Cost of goods available	40	37	34
Less ending inventory.....	<u>(11)</u>	<u>(10)</u>	<u>(9)</u>
Cost of goods sold	<u>29</u>	<u>27</u>	<u>25</u>
Gross profit.....	13	12	11
Operating expenses	<u>6</u>	<u>6</u>	<u>6</u>
Net income.....	<u>\$ 7</u>	<u>\$ 6</u>	<u>\$ 5</u>

Auditors discovered that the ending inventory for 2014 was understated by \$4 million and that the ending inventory for 2015 was understated by \$5 million. The ending inventory at December 31, 2016, was correct.

Requirements

1. Show corrected income statements for each of the three years.
2. How much did these assumed corrections add to or take away from Brilliant's total net income over the three-year period? How did the corrections affect the trend of net income?
3. Will Brilliant's shareholders still be happy with the company's trend of net income? Give the reason for your answer.

Exercise 5



P6-71B. (Learning Objectives 1, 2: Show how to account for inventory in a perpetual system using the average-costing method) Super Value purchases inventory in crates of merchandise; each crate of inventory is a unit. The fiscal year of Super Value ends each January 31. Assume you are dealing with a single Super Value store in Madison, Wisconsin. The Madison store began the year with an inventory of 14,000 units that cost a total of \$742,000. During the year, the store purchased merchandise on account as follows:

July (31,000 units at \$55)	\$1,705,000
November (51,000 units at \$59)	3,009,000
December (61,000 units at \$65).....	3,965,000
Total purchases.....	\$8,679,000

Cash payments on account totaled \$8,351,000. During fiscal year 2016, the store sold 149,000 units of merchandise for \$15,272,500, of which \$5,200,000 was for cash and the balance was on account. Super Value uses the average-cost method for inventories. Operating expenses for the year were \$3,250,000. Super Value paid 70% in cash and accrued the rest as accrued liabilities. The store accrued income tax at the rate of 35%.

Exercise 5



Requirements

1. Make summary journal entries to record the store's transactions for the year ended June 30, 2016. Super Value uses a perpetual inventory system. Round average cost per unit to two decimal places and round all other amounts to the nearest dollar.
2. Prepare a T-account to show the activity in the Inventory account.
3. Prepare the store's income statement for the year ended January 31, 2016. Show totals for gross profit, income before tax, and net income.